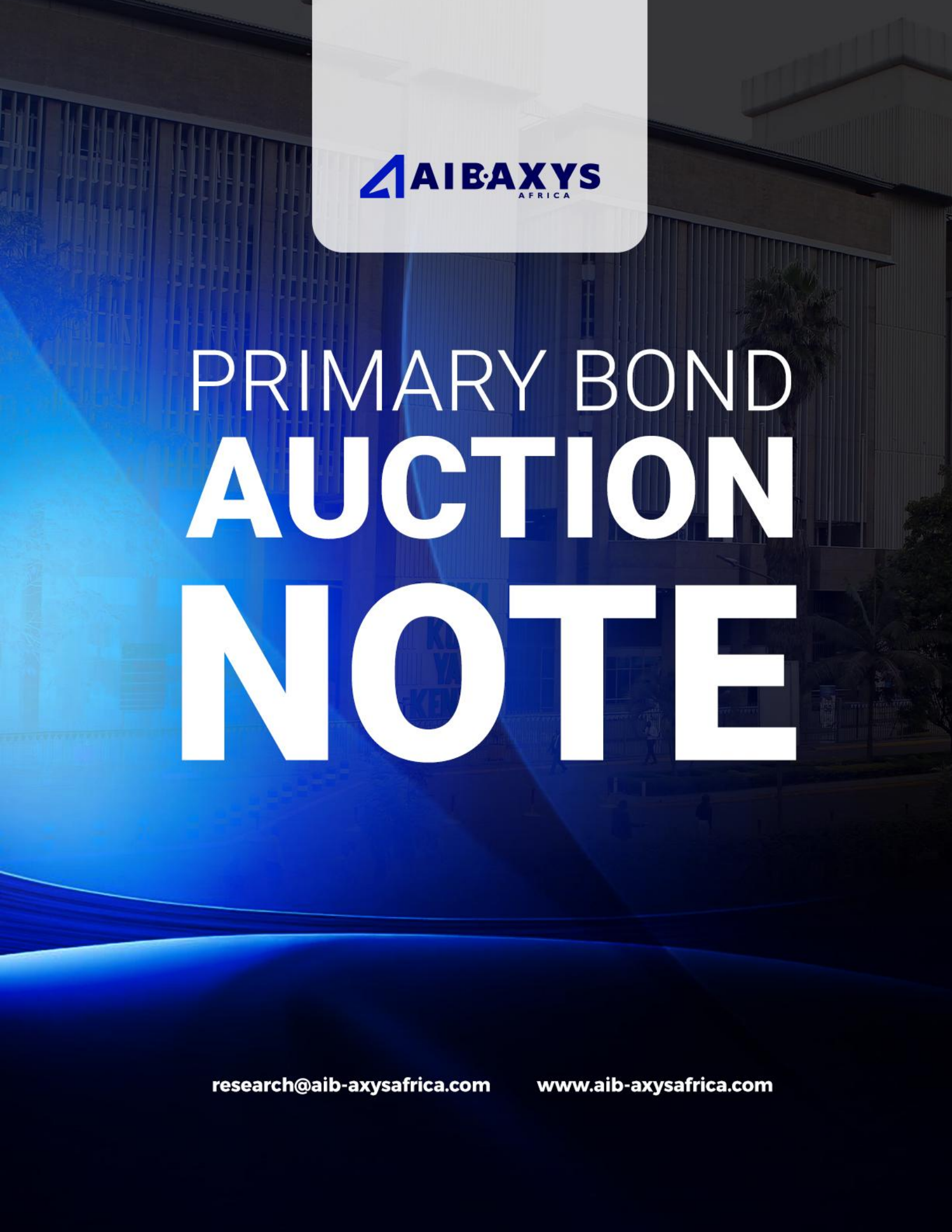

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AFRICA
PRIMARY BOND
AUCTION
NOTE
research@aib-axysafrica.com
www.aib-axysafrica.com



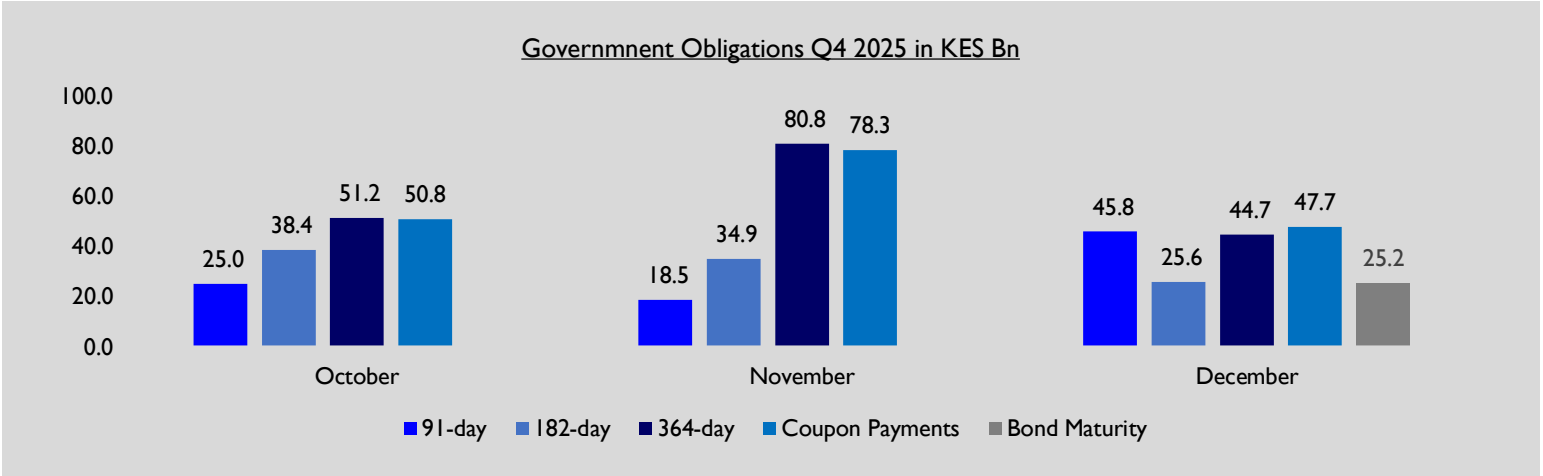
AIB-AXYS December 2025 Primary Bond Auction Note

Summary

- **The Exchequer is seeking to raise KES 40.00Bn through the re-opening of the SDB1/2011/030 & FXD1/2021/025** treasury bonds earmarked for budgetary support in FY25/26.
- The government is facing approximately KES 189.0 Bn in debt obligations in December 2025, which includes a bond maturity of KES 25.2 Bn. Nevertheless, these obligations are considerably lower compared to the preceding month, when the government had to tap into the domestic market with two auctions. With revenue collections still lagging behind targets, we foresee heavy reliance on the debt market to fund the exchequer, with greater focus on domestic borrowing. With this in mind, the government has sent clear signals that it wants to keep its cost of debt contained. This has been evident in recent auctions, where aggressive bidding has been left out. We believe this trend will persist as investors realign their bids to match the government's stance. We also note resilient liquidity conditions in the market, signaled by the steadily strong performance rate, which has remained above 230.0% since the August primary auction. However, some of this liquidity has flowed into the secondary market after investors missed out in the primary auction.
- **Our recommended competitive bidding yield on the paper is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

SDB1/2011/030 & FXD1/2021/025	
Issuer:	Republic of Kenya
Total Amount:	KES 40.0 billion
Purpose:	Budgetary Support
Tenor:	**SDB1/2011/030**- (15.2 Years)– Re-opened **FXD1/2021/025**- (20.4 Years)– Re-opened
Coupon Rate:	**SDB1/2011/030**– 12.0000% **FXD1/2021/025**– 13.9240%
Price Quote:	Discounted/Premium/Par
Period of sale:	27th-Nov-2025 to 3rd-Dec-2025
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**SDB1/2011/030**– 21st-January-2041 **FXD1/2021/025**– 9th-April-2046
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**SDB1/2011/030**– 12.89%-13.09% **FXD1/2021/025**– 13.24%-13.44%



Term Structure of Interest Rates

In 2025, yields have continued to decline. In November, however, we noted a slowdown in this trend. In the short term and long-term tenors, yields declined by an average of 0.03% points and 0.02% points respectively, while medium term tenors recorded a notable rise of 5.0 bps. On a YTD basis, yields have eased across all tenors, with short term tenors registering the largest decline of 212.36 bps. We expect yields to continue trending downwards, although now at a slower pace. In next week's MPC meeting, we expect a further rate cut to bring the Central Bank Rate to 9.0%, while inflation remains stable. This would further support easing of yields in the medium term. Additionally, downward momentum may persist in the near term as the tax shortfall continues. The exchequer remains behind revenue targets, which means it will have to rely on the debt market to meet financing needs. As a result, there will be a need to keep yields contained as the government aims to keep the cost of its debt stock at low levels

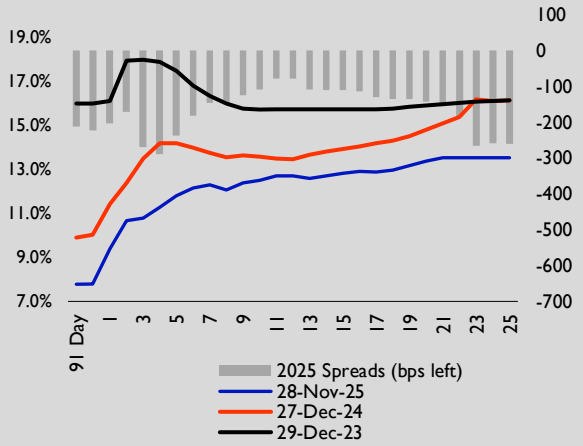
Market Liquidity

In November, Kenya Shilling Overnight Interbank Average (KESONIA) eased by 8.9 bps to an average of 9.24% from 9.33% in October, in an easing monetary environment. Additionally, the interbank lending activities declined by 6.1% month on month. With a narrower interest rate corridor of 75 bps, we expect KESONIA to track the CBR closely.

Price Levels

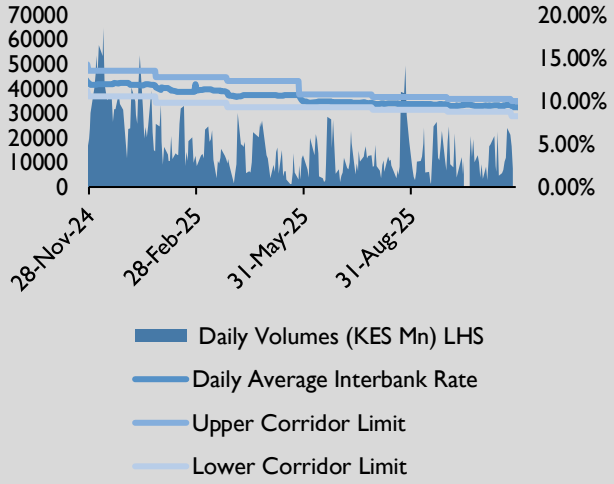
November's inflation was in line with our in-house projections of 4.5% to 4.7%, printing at 4.5%, a 10 bps decline from 4.6% in October. The price increase was primarily driven by higher costs in Food and Non-Alcoholic Beverages at 7.7%, Transport at 5.1%, and Housing, Water, Electricity, Gas and Other Fuels at 1.9%. On a month-on-month basis, the CPI rose by 0.2%, from 146.84 in October to 147.08 in November, with core inflation easing to 2.3% and non-core inflation rising to 10.1%. Going forward, we expect inflation to remain stable within CBK's target, supported by stable energy prices in the country. The only major risk is any escalation of geopolitical tension in oil producing regions, which would affect oil prices. The recent CPI trend aligns with CBK's projections that inflation is expected to remain within its target range. This strengthens our view that the MPC has the scope to further cut the Central Bank Rate by another 25 bps.

Chart 2: Domestic Yield Curve Evolution



Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

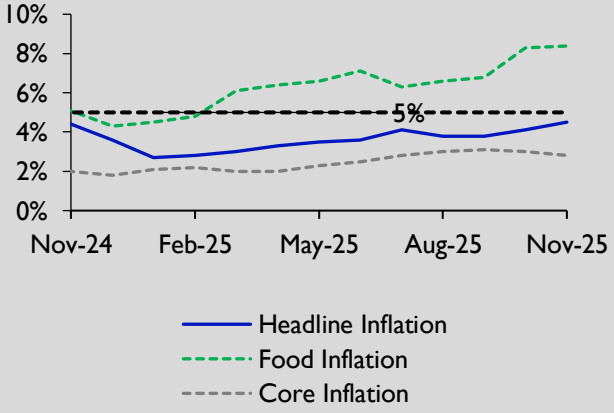
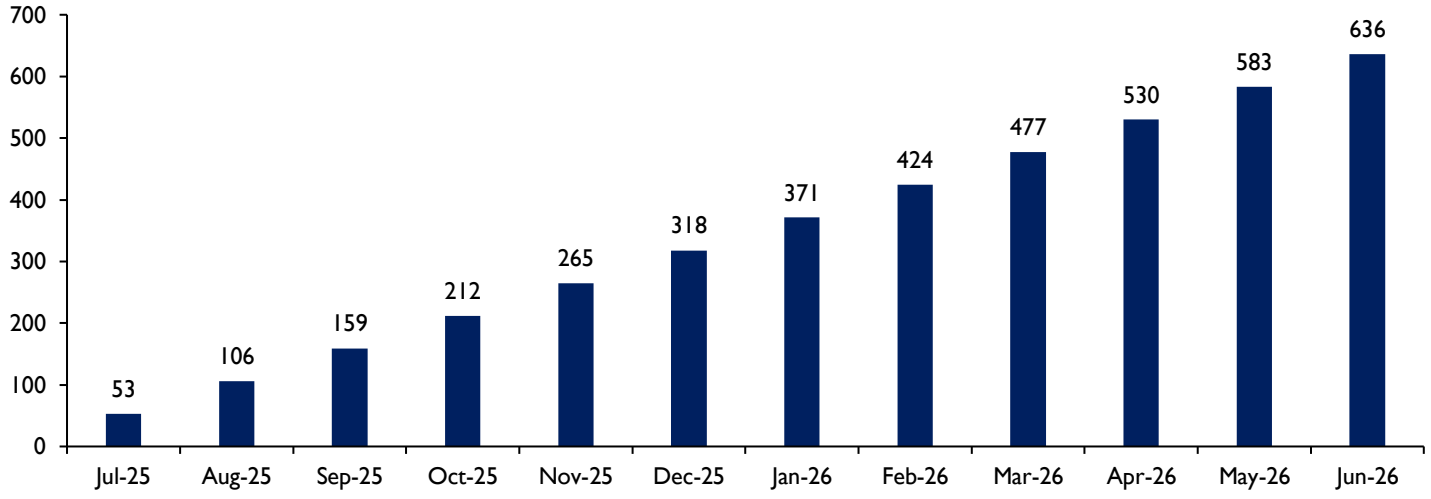


Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2011/030 - (15.2 Years)					
FXD1/2019/020	21-March-2039	13.3	83,350.00	12.8730%	12.500%
SDB1/2011/030	**21-Jan-2041**	**15.2**	**44,309.78**	**12.0000%**	**13.0922%**
FXD1/2021/020	22-July-2041	15.7	129,688.48	13.4440%	13.2016%
Comparable Yields for the FXD1/2021/025 - (20.4 Years)					
FXD1/2018/025	25-May-2043	17.5	165,653.46	13.4000%	12.9049%
FXD1/2021/025	**9-April-2046**	20.4	90,490.00	**13.9240%**	**13.2767%**
FXD1/2022/025	**23-Sep-2027**	21.9	175,648.09	**14.1880%**	**13.3000%**

Source: CBK, AIB-AXYS Africa Research

FY25/26 Domestic Borrowing Target (KES Bn)



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Jan-25	30,000	FXD1/2018/015 Re-opened	8.3		12.650%	14.329%	14.210%	75
		FXD1/2022/025 Re-opened	22.8	**196.7%**	14.188%	15.743%	15.683%	8
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%	70.9
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%	152.55
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%	140.19
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%	137.85
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%	44.52
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%	41.5
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%		
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%		
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%	64.4
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%	146.4
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%	26.7
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%	21.8
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%	16.8
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%	-53
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.574%	12.746%	23
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%	-34
Average*	**48,846**		**10.3**	**222.1%**	**13.424%**	**13.887%**	**13.695%**	**70.588**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

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